

STATUS QUO BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Status quo bias can cause investors, by taking no action, to hold investments inappropriate to their own risk/return profiles. This can mean that investors take excessive risks or invest too conservatively.
2. Status quo bias can combine with loss aversion bias. In this scenario, an investor facing an opportunity to reallocate or alter an investment position may choose, instead, to maintain the status quo because the status quo offers the investor a lower probability of realizing a loss. This will be true even if, in the long run, the investor could achieve a higher return by electing an alternative path.
3. Status quo bias causes investors to hold securities with which they feel familiar or of which they are emotionally fond. This behavior can compromise financial goals, however, because a subjective comfort level with a security may not justify holding onto it despite poor performance.
4. Status quo bias can cause investors to hold securities, either inherited or purchased, because of an aversion to transaction costs associated with selling. This behavior can be hazardous to one's wealth because a commission or a tax is frequently a small price to pay for exiting a poorly performing investment or for properly allocating a portfolio.

DIAGNOSTIC TESTING

These questions are designed to detect signs of cognitive errors stemming from status quo bias. To complete the test, select the answer choice that best characterizes your response to each item.

Status Quo Bias Test

Question 1: Your financial advisor presents you with a plan to rebalance your portfolio. This rebalancing would require you to make a number of substantial changes in your portfolio, which may even involve triggering taxable events that are not pleasant but are quite